Iron Mountain Inc. (IRM)

Digital pivot inflecting

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*Digital pivot inflecting. Growth businesses (data center, digital, asset lifecycle management) grew more than 50% YoY in Q2 and now represent about 35% of revenue. 110 MW leased year to date, 75 MW of it in July alone, with roughly 325 MW to energize over 24 months [IRM Q2 2026]. REIT cash machine funds the build. The 98% retention physical storage monopoly throws off inflation-protected cash that funds data center capex without excessive dilution. FY2026 AFFO guidance of $5.90 per share (+14%) covers the 3.1% dividend at a 62% payout ratio [IRM Q2 2026, Mkt 18-Oct-26]. Market prices the melting ice cube. The reverse DCF shows the market implies only about 4% five-year AFFO growth, below our 6.5% base case. Our AFFO-based DCF values the base case at $125.41, implying 11.5% upside from $112.51 [DCF 18-Oct-26]. Our framework screens it as a **Buy** with a $123.74 blended target, 10% above the current price.*

BUY	$123.74	+10%	$112.51
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

REIT cash machine funds the build. The 98% retention physical storage monopoly throws off inflation-protected cash that funds data center capex without excessive dilution. FY2026 AFFO guidance of $5.90 per share (+14%) covers the 3.1% dividend at a 62% payout ratio [IRM Q2 2026, Mkt 18-Oct-26].

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$7.98B	$2.96B	$5.90	110 MW	3.1%	4.8x
REVENUE (FY26E GUIDE)	ADJ EBITDA (FY26E GUIDE)	AFFO PER SHARE (FY26E GUIDE)	DATA CENTER LEASING YTD	DIVIDEND YIELD	NET LEASE ADJ. LEVERAGE

The moat is structural

Monopoly-grade physical storage: 98% retention rates on records management, an inflation-protected cash cow that funds data center expansion without excessive dilution.

Three scenarios make the valuation range explicit

The DCF values Iron Mountain Inc. across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$94.15**	-16%
Base	50%	**$125.41**	+11%

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Bull	25%	**$149.97**	+33%

Bear ($94.15, -16%): Growth disappoints and multiples compress; the $94.15 target marks the downside case.

Bull ($149.97, +33%): Execution compounds and the multiple rerates; the $149.97 target marks the upside case.

The probability-blended target implies +10% upside

Blended target: $123.74 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +10% upside from the $112.51 reference price.

$123.74

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

DCF Base $125.41 [DCF 18-Oct-26] DCF Blended $123.73 [DCF 18-Oct-26] P/AFFO (FY26E) 19.1x [Mkt 18-Oct-26] Dividend yield 3.1% [Mkt 18-Oct-26] DCF implies 11.5% upside at $112.51. 19x forward AFFO is full but defensible for 14-15% AFFO growth; the yield is safe at a 62% payout.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $123.74 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Monopoly-grade physical storage: 98% retention rates on records management, an inflation-protected cash cow that funds data center expansion without excessive dilution. [Research]

Data center scarcity premium. Regulatory moratoriums act as a CAPEX moat; IRM marks new capacity to market at premium rates from a smaller base than DLR or EQIX, disproportionately boosting margins. [Research]

Cross-selling 240,000+ customers across 61 countries (about 95% of the Fortune 1000) from physical storage into digital and ALM services. [IRM Q2 2026]

Tuck-in M&A (recent Groupe ATF close) plus operational transformation including AI to drive further margin and revenue upside. [IRM Q2 2026]

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What to monitor

Nov 5, 2026. Q3 2026 earnings. Data center MW leasing momentum (75 MW signed in July alone) and progress on the 325 MW energization pipeline in focus.

Ongoing. Data center leasing announcements; scarcity pricing on newly stabilized digital assets as moratoriums constrain competing supply.

FY27. Energization of ~325 MW of data center capacity over 24 months; mix shift toward digital should structurally expand the blended EBITDA margin.

$7.98B	$2.96B	$5.90	110 MW
REVENUE (FY26E GUIDE)	ADJ EBITDA (FY26E GUIDE)	AFFO PER SHARE (FY26E GUIDE)	DATA CENTER LEASING YTD

Key risks

Leverage and rate sensitivity. Total debt of $19.05B against a $33.5B market cap. As a REIT, the valuation is sensitive to the 10-year yield (5.10%); sustained high rates raise refinancing costs and compress the AFFO multiple. [Mkt 18-Oct-26]

Data center execution risk. Roughly 325 MW of data center capacity must be energized over 24 months, with $553M of growth capex spent in Q2 alone. Delays, cost overruns, or weak lease-up would hit both growth and margins. [IRM Q2 2026]

Insider selling. CEO William Meaney sold 38,474 shares on October 1 (about $4.25M, a 50% reduction in his position) and EVP Greg Mcintosh sold 5,000 shares. Both were 10b5-1 planned sales, but the CEO halving his stake warrants attention. [Mkt 18-Oct-26]

Legacy storage decline. Physical records storage faces long-run secular decline; the thesis depends on 98% retention holding and the digital businesses scaling fast enough to more than offset any legacy erosion. [Research]

Investment view

A slowdown in MW leasing or a pause in the 325 MW energization pipeline would cut the growth case and the target. Sustained 50%+ growth-business momentum with EBITDA margins pushing toward 40% would support the Bull case and a rerating toward pure data center REIT multiples.

Buy. The $123.74 blended target implies +10% upside, balancing the $94.15 / $125.41 / $149.97 Bear / Base / Bull targets.

Data center scarcity premium

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Upcoming catalysts

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